

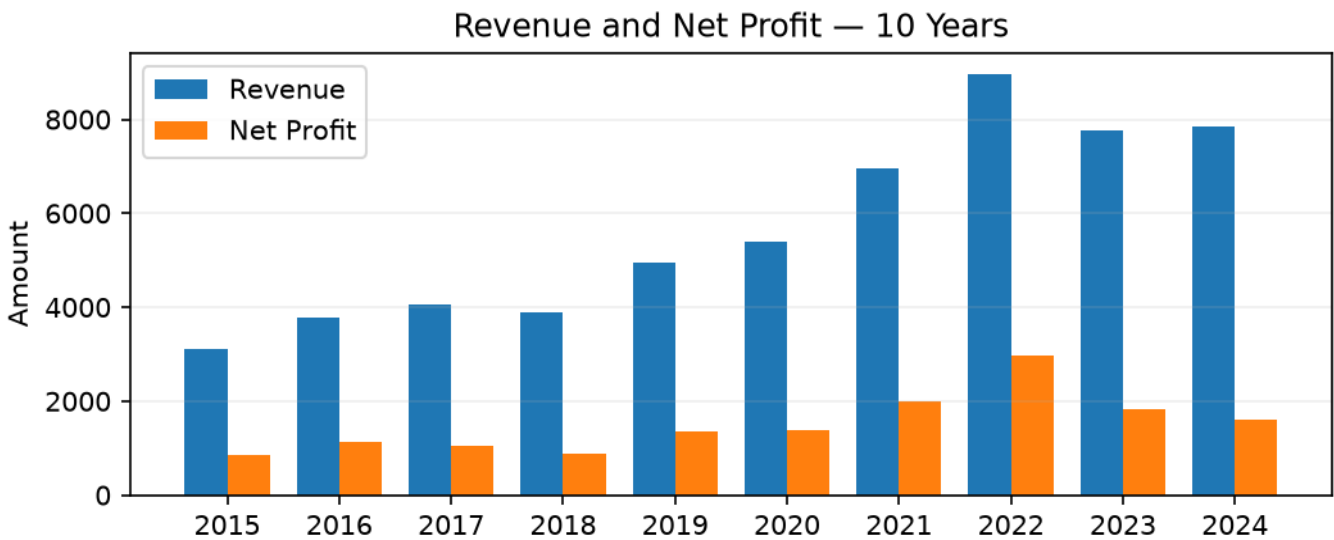
Divis Laboratories Ltd

DIVISLAB

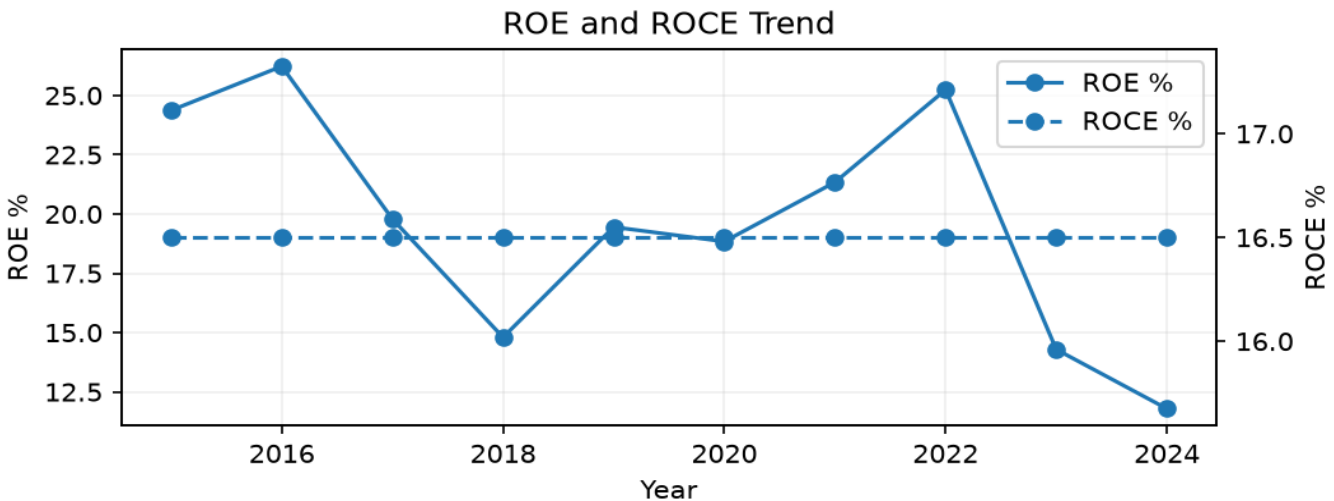
Sector: Healthcare

ROE 11.79%	ROCE 16.50%	Net Profit Margin 20.40%
D/E 0.00	Revenue CAGR 5Y 9.66%	FCF 992.00 Cr

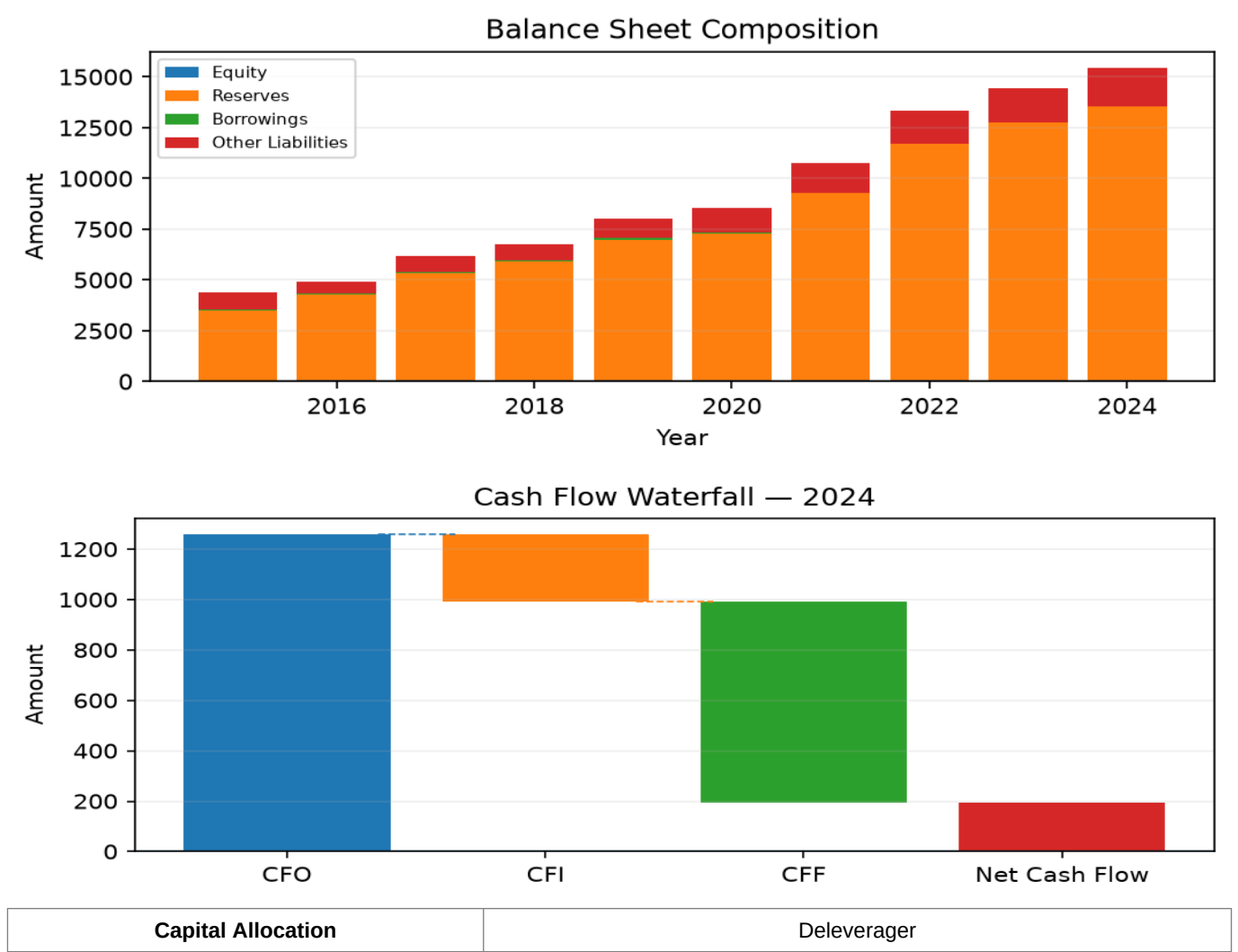
Revenue & Profit Trend



Return Trend



Financial Structure & Cash Flow



Pros

- Debt-free balance sheet provides financial flexibility and eliminates interest burden (confidence 98%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (confidence 95%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (confidence 88%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (confidence 80%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (confidence 75%)

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (confidence 85%)
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (confidence 85%)